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TECH

Nvidia Is Poised to Report a Strong Lift from AI and Gaming

Chip maker's hardware is popular in cloud computing and cryptomining

By Ted Greenwald

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Nvidia is poised to report a strong lift from AI and gaming when it reports earnings later Thursday. MIKE BLAKE/REUTERS

Nvidia Corp. NVDA **-4.21%** ▼ is scheduled to announce earnings for its first quarter after the market closes Thursday. Here's what to look for:

EARNINGS FORECAST: Analysts expect Nvidia to report per-share earnings of \$1.47, according to a survey by Thomson Reuters, up 86% from the same quarter a year earlier. A year ago, the graphics-chip maker reported net income of \$507 million.

REVENUE FORECAST: Analysts expect revenue of \$2.91 billion, up 50% from a year

earlier.

WHAT TO WATCH:

AI ASCENDANT: Global cloud-computing providers favor Nvidia's high-end chips for some of their artificial-intelligence calculations. In most quarters over the past two years, Nvidia's sales to data-center customers such as [Amazon.com Inc.](#) and [Microsoft Corp.](#) have ballooned by triple-digit percentages from the prior year. Analysts expect a high double-digit increase this time around—slower, yes, but still growing at a torrid pace and from a higher base. Kevin Cassidy of [Stifel Financial Corp.](#) SF 0.81% ▲ is looking for 65% growth from the previous year. “They’re changing the industry in the data center,” he said, “and that’s the reason to own shares.”

GAMING THE SYSTEM: Sales of gaming cards used in personal computers typically are weak in the first quarter, immediately following the holiday season. Nonetheless, many analysts believe Nvidia's gaming revenue in the quarter grew by double digits from the previous year as Nvidia products command premium prices, and the gaming market continues to boom with help from cryptocurrency mining. Chris Caso of [Raymond James Financial Inc.](#) expects gaming revenue to have risen by as much as 68%. And he expects new gaming cards based on Nvidia's latest Volta architecture to arrive this summer, driving further growth in the second half of the year.

MINING BOOM: Miners of the digital currency ethereum hold a wild card for Nvidia. The company sells a modified version of its gaming technology for cryptocurrency mining, but miners use its gaming cards as well. That has worried some investors, who believe such sales may be fleeting. Indeed, miners snapped up the supply of Nvidia game cards late last year, said Mitch Steves, an analyst at RBC Capital Markets LLC. They left more of the inventory for gamers in the first quarter, he said, and pent-up demand should be reflected in healthy results. Cryptocurrency could play a smaller role in Nvidia's revenue going forward, though: The Chinese mining-hardware firm Bitmain Technologies Ltd. has said it expects later this year to offer products designed for ethereum mining from the ground up, potentially displacing graphics cards for

that purpose.

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Ted Greenwald reported on the chip industry and artificial intelligence for The Wall Street Journal, bringing insights gleaned from two decades spent covering Silicon Valley technology and business. Ted previously edited enterprise-tech coverage for WSJ and feature stories for Wired, and his writing has appeared in The Atlantic, Fortune, and ML...

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